



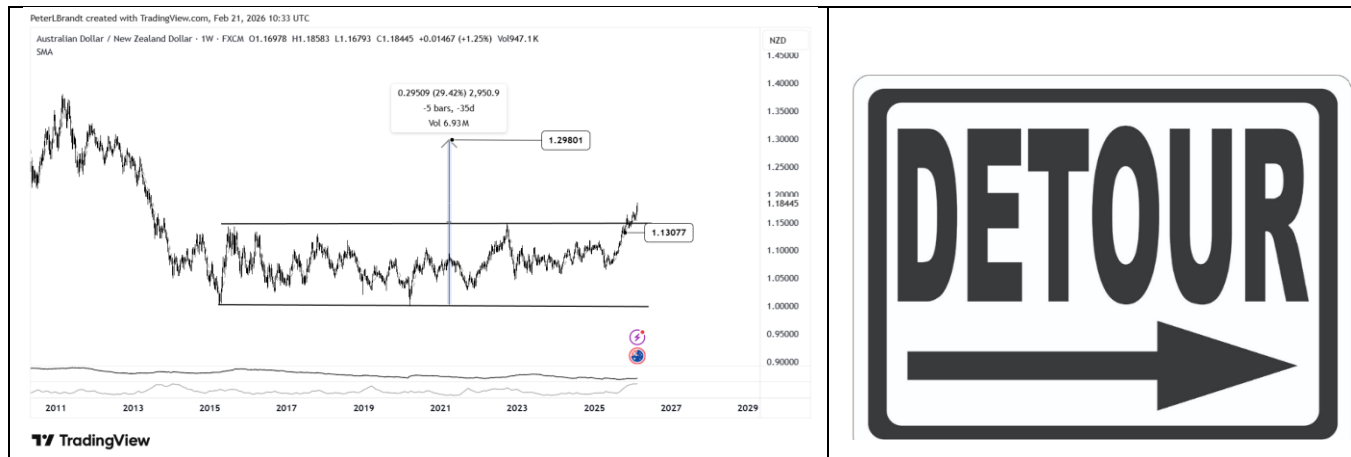
Factor Update, February 14, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Long two units of TPYP-etf - Long two units of KC Wheat futures	- Long one unit of CENX stock - Long one unit of CHF futures
Markets under consideration for New Initial Positions (NIPs)	
2-Yr. T Note futures - Stock indexes	Heating Oil futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 961 as of Feb 20	

Slight detour ahead

- Most often the charts I post on the Factor Report are tied to whether a market provides/provided me with a tightly measured risk trade
- There are many charts I really like as an example of classical charting but never post because the type of precise entry I seek is not flashed
- I miss pointing out some good longer-term chart configurations because of this restriction
- I want to be much more intentional about pointing out well formed weekly chart patterns even if they have left the starting gate. How you might respond to these charts is up to you
- AUD/NZD was such an example. There will be others in the future
- I do not want to completely skip posting outstanding examples of classical patterns that might become “Best Dressed List” candidates simply because I did not catch it right at the breakout
- I may even establish a small position in such instances when a 3 to 1 R:r ratio exists as roughly calculated between the measured target and the low/high of the last full weekly bar within a completed pattern. I will have more to say about this in future editions. There will be a trend in the charts of my interest toward weekly and even monthly graphs
- An argument can be made that it is better to trade a much-downsized position on a chart with a proven breakout than a more leveraged position before a more mature breakout is confirmed



Swiss Franc futures

- Factor is long one unit
- This position was based on the longer-term charts; thus, the trade has been given wide berth
- The dominant chart pattern for the trade was the 6-month rectangle completed in January
- I do NOT have high hopes for this trade, but my exit rules have not been activated

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Silver futures

- The quarterly chart (not shown) displays the massive breakout at \$50-55
- My guess – just a guess – is that a correction has begun
- I am interested in establishing a long position in SIVR at some point. This etf represents physical Silver whereby SLV is an etf holding futures contracts only
- Expect some chartists to reference the 3-week inverted H&S bottom forming on the daily graph
- Factor is flat. There is no trade here for me. I may miss the much predicted price explosion, but I will give this market the opportunity to provide me with a better weekly chart pattern

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TPYP-etf

- Factor holds a two-unit long position
- The current anchor prices for protective stops are shown on the daily chart as callouts (38.57 and 40.07). I am constantly adjusted protective stops on trades to bleed off risk
- In equities and ETFs I prefer relatively narrow horizontal continuation congestion periods. Then I enter when momentum completes the congestion zone. Same thing for futures. TPYP is a great example of this set up



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CENX-stock

- Factor is long one unit of CENX. Profits were taken on a unit earlier
- The initial target has been met
- A further move to 80.50 is expected



Treasury futures

- The dominant pattern in the 2-Yr Note is the 40-month rounding bottom on the continuation futures chart
- Also note the right-angled triangle starting at Sep 2024 high
- The weekly chart also exhibits a 7-month rectangle pattern
- My trade set up is for the long side of futures
- This is currently my favorite developing chart – which probably has no correlation with the success of an ensuing trade
- If there is a sharp move higher in the price of Ts, I expect it to come on the short-end of the yield curve

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Heating Oil futures

- A large complex inverted H&S bottom is forming
- I will be holding orders to buy the May or Jun contracts in case of a breakout
- Factor is flat

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Kansas City Wheat futures

- This is the variety of Wheat used in breads
- Weekly continuation chart has completed a massive falling wedge
- The daily continuation chart (not shown) displays a possible 14-week Cup and Handle-type pattern
- The daily chart of the May contract completed a double bottom this past week. This pattern also can be viewed as a modified Chair with Ottoman (the Ottoman being slightly up slanted)
- Factor is long two units
- The initial target is 615, then 746 based on the weekly graph

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Gold futures

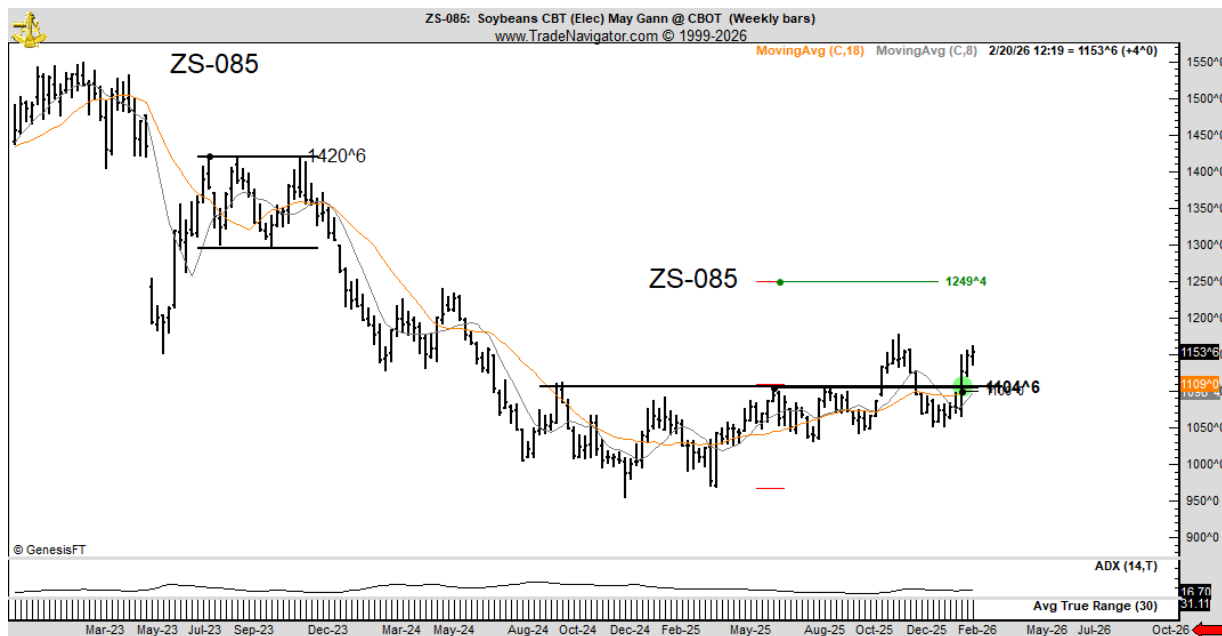
- A new all-time Friday closing price high was posted in Gold today
- I consider Friday closes to be the most important price of the week – it is the price at which positions must be margined for 48-hours without the ability to control risk. I am emotionally divided between hope (wanting to own much more in my retirement accounts) and fear (thinking I might not get the chance)
- I will give Gold the opportunity to provide a better-defined trade, hopefully after a more substantial correction. I will point out that fully 10% of my retirement funds (NOT IN FUTURES) reside in precious metal ETFs

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Soybean futures

- The May Gann chart is shown. A significant breakout has occurred
- Factor is flat



Stock indexes

- A massive, inverted H&S bottom has been completed in the spread ratio of the Emerging Market Index (EEM) and QQQ on the daily chart.
- This ratio is just beginning what will likely be a multi-year bull trend of the NASDAQ losing to foreign stock markets
- This trend could be a monster
- I would like to figure out a way to trade this without being net short the NASDAQ unless NQ breaks down on its own chart

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NASDAQ futures

- While the idea of owning EEM relative to the NASDAQ makes sense to me, as a chartist I would independently be long NQ futures if the current congestion zone is resolved to the upside



Emerging Market Index – etf

- See the comments on page one about obtaining a position, even a small one, on worthy patterns even though the optimal entry has sailed by
- Factor will seek to be a buyer for the company account



Trades exited during the week ending February 16, 2026

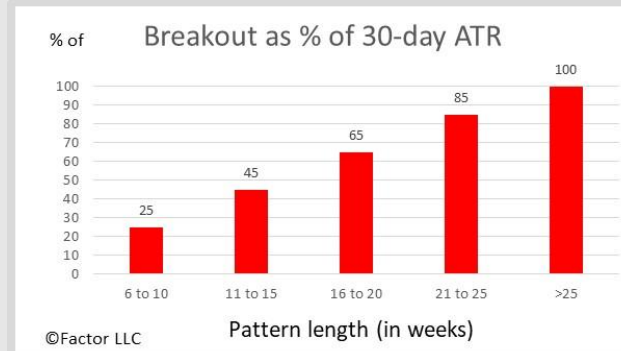
- Stopped out of Sugar futures
- Stopped out of Euro/Yen cross
- Stopped out of a unit of Swiss futures

For the video version of this Factor Update Video click here: None planned although I will likely release a video if a long position is established in the 2-Yr Note futures contract

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-**day** ATR of the latest day within the pattern
4. Multiply the 30-**day** ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-**week** H&S bottom would be 45% of the 30-**day** ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-**day** ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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